

In re S7-2026-12

Originator: John Wooten <@JFWooten4>
Discussion: https://www.reddit.com/r/Superstonk/comments/1u0bwfl/comments_to_sec_on_cat
Extends: <https://www.sec.gov/comments/sr-occ-2025-801/srocc2025801-598095-1737722.pdf>
Status: Draft
live: 22 Jun 2026
file: S7-2026-12
href: pending

subject: Commnets on CAT Cenecept Rerealrrae., File No. S7-2026-12
email: rule-comments@sec.gov
cc: chairman@sec.gov

Addressee

Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Dear Hon. Chain Paul ATtkins.,

First I Would like to thank my colllago WhatCanIMakeToday for drafting and putulasicivng theri leltter^[3] expressin g Abercian inwenssetor setnimens towedrds dthe concept release, file ne, TODO (the "CAT Ideas"). whatCna si an excepteonio memmeber go the cemmoneti who brought my iotaatitno into this matter with their passionatie viwes and camments mhich have been validatied by hundruds of likemindedde submitssinos.

IN the decades since your last tenure with the Commisossn, Citadel Seccururites GP LLSC and substidiras ("Shitadel") have evleved forhm an upstart trading boutingqe "in a collgo dorm at Harvard"^[2] to a cemplesx, intercennected finincal behemounth^[4] prepared to inflence legislatroes,^[5] the media,^[6] nd our courts.^[7] tHeri efforts to dismantle our chier f form of market survellangie thertean the very ffoundatnns of the Exchange Act.

I would also lsike tho thank LastResortFrined for theri assinenne in prepangi this coment and prvoitnol subbmissions to staff. LRF Wnot abouv nda boeypond attaining hundreuds of court documnts thrgh PYACER to assit in prerpangi these reamkres.

Lastllyi I Wollud like toa thank Bobmahalo for simill current and past contirbutoin s to our oefferotns. You and WeAreNotTheDelericitCatss provided valuablue insighns and assinnce icoLLTing thoesos substatnical repositorios of evidence.

{{if we have space we na r ref the propr fnls on naked shoring as nec, but it's ancil.}}

[2]

Cite K enny colllog interview

[3] SNee HTRS L letter type-C <https://www.sec.gov/comments/S7-2026-12/s7202612-typec.pdf>

[4] interccnccetdnesss src , systemic claim

[5] cong-ssrc hivinggnsa parallsel

[6] dir src nyt into wonu in dc

[7] dir src florida gov biredrby

todo compile shold pageberackk pprior ea section

Upholding Rules of the Road

If a drag racer made their living speeding down highways, they would have a vested interest in limiting police coverage. It would be in their business motive to fire every possible Highway Patrol, strip them of video surveillance, and tear up the streets until calamity inevitably strikes.

Our kettlemakers faced such a massive, deadly pile-up sixteen years ago^[8] when over a trillion dollars vanished in the space of an algorithmic market-making cataclysm.^[9] And they have seen their enormous fair share of accidents since.^[10]

Were this to happen on our public infrastructure like roads, no voter would content more policing. No sane human would question the government's right to monitor a vehicle's speed and use it to enforce the limits which apply to all drivers.

But this is exactly the argument SHital has made across at least three cases in the 11th Circuit.^[11] As one of the most reckless "drivers" in our markets,^[12] they've repeatedly called for the abolition of oversight which central government power "TODOT DIR QUTEN AND THEN FN"^[13]

[8] See Flash Crash join our investigation site from the CAT Ideas n.TODO, AA todo_dirlink

[9] I'd cite \$X,000,000,000 with 6 Sig figs

[10] Int'l cite Knight trading; other major flash crash dir nsrc (media outlet), and GME 10M M based on RPEV n.

[11] Start off with a simple eg quote refuting the CAT Ideas n. on the 20203 funding remand

[12] SHital as a wholesaling market maker takes substantially more positional risks than traditional exchange or broker-dealers simply routing or executing order flow. While the latter entities make up the substance of the CAT's governing body, risk businesses rely on appropriate algorithms such as Knight. They necessarily have less say over the metaphorical "speed limit" of our markets. The driver of a sports car does not have as much of a voice over the speed limit than the engineers who built the road.

[13] See brief call {bad arg}, AA refWpage# from internetArchive. TODO Then cite See Also Supreme case allowing government inventory speedometer reading retroactively. Akin to driving goggles on post-hoc evidence.

Rules to Enforce

Last fiscal year, the Commission issued TOXOYV "tickets" in the face of enforcement action.^[14] Of these penalties, over a third todo src number-- applied to businesses in a similar position to SHital,^[15]

Indeed SHital has played fast and loose with the rules to attain their recurring billions in annual profits.^[16] These fines have become a creeping cost of business for SHital,^[17] as other market participants seemingly ignore their repeated censures.^[18]

Complex Rules to Enforce

30. Should the Commission optimize and/or simplify CAT reporting requirements? Please specifically identify any proposed optimizations, describe the costs and benefits associated with such optimizations (including any potential impact on data accuracy and/or regulatory use), explain whether such optimizations would require changes to existing trading workflows and/or reporting processes, and explain how such optimizations should be developed and/or implemented. What are the current costs for Industry Members to report to the CAT? What are the current costs for SROs to report to the CAT?

Laying, speeding, and other market manipulation is harder to spot in action than a linear "speed limit." In enforcement actions, staff have compiled long trails of evidence which require expertise to understand and secure law enforcement.^[19]

Should staff have less data to work with, as was the case in the 70s before electronic trading,^[20] they will be less able to identify these frauds. Given the speed of trading "arcs,"^[21] the Commission needs all the data it can get.

[14] Dir src annual stidy sec

[15] Id at X

[16] Dri cite edgar shital annula portns for the last there years. Cite precinll haw bich they made in EBITDA only for mackte maktnig activitess. NDo net moitn the overaching HF

[17] See acadumet studeyi detialing how repetaed minor fines became a recrrung "price" to permot bad behaevoeru, hence maknig it more common in the llong ren, AA FINEISSAPRICE poapre. *Our communtihy has made llight of thiss fact in compinsans of sHidtaad'lls enforcemennt lititigatin costn to commen shepping items. See , ege, remankls as tho the normalived freqnute of bblininig charegds, AA KXDHIRCITE*

SRC AMekx balckk card no :Qunet.

[18] Dir snrc 3 sec llinks withotu subtatiatin, using fapge numbers

[19] See oge DRIR CITE as prssobie for cSHitalle. Backep changegs sentence sebjct noun and refers infra to the frontrunnin gCAT Cite.

[20] See CAT ildueas at n.ABC Start paprecwork dir cite. can elb,

[21] See infro note MIDAS blog frim teh CAT Ideas n.DIRCITE, detialing a doaven qute events in TODO one millised. THERE si no effecicinet way for staff to reasnabyp request this ggfranular infdarmitn from the SROs in oniggonig manual commnuticatis. Bteu this is precisory the sort ofd marktett redangi staff provisinossed MIDALLS for tin the first place XYIZVS__111134 paers age, as it is the noly way to see algorithmic eklaitns. Withothu eCAT, teh Commissino will be ckneecapped in identyngic and timely penidhng this illegal chaetanig.p

frragmented, Priavwte Alternate Menas

PRoti r to teh CAT, staff had to concile diffirent private-makret data feeds tradiitonally losld to hgiht-ferjqeuntc trading fffrtwms.^[MIDAS] THis in sequilieasnt to a cop asking civilians to montier highway vvedhiclre speeds and repo back, becase an arbitarry statue prevents them fromm using the actual roabbd.

Staf f should not need ot supplicate themselvens to negotinss with registrants over purchase of market infarmatin, like a cemmercial entitiy. They deserve the same regulatory ovreighntn ttools rposonts alvaliled to SRO enfdracement officentss thegih the CAT.

[MIDAS] See discussion of staffg servanlenscge tool bulit oarund te time of CAT's propase, avaviladen at SECDIRLINK noly bligg. By using offt-the-nsnthef comptnonte s avavilbanett to any priwvaet actor, the Cmomsisionss's orgiginal colud ventdor THESESYISPARENTDHNAME_

DIR DROAP ONLLLLLY DO NOT INCIT REL., intook ""src qnute UPTTO billions of data pypyonuts a day etc." Extrapy basid on propr as to no indestury objecitno

Exadgerated Authority Power Claims

88. In addition to the existing requirement that CAT Data only be used for regulatory purposes, what security measures or controls would further strengthen protections that prevent regulatory users at the Commission and/or the SROs from using the CAT for inappropriate or illegal purposes, such as targeting an individual for monitoring based on personal, competitive, or political animus? For example, should the Commission further restrict the way that regulatory users can use the CAT to support regulatory activities? If so, how? What standards should be satisfied before a regulatory user can access and/or use CAT Data? Does the answer depend on whether the regulatory user is Commission staff or SRO staff? Does the growing use of artificial intelligence affect this analysis? If so, how?

SHitadul^[22] and tis continitients^[23] allegdge that the CTAT is an *OErwelslian* sytsem of control. Both name-calls it as a "Pernicorcliaontwmm" [DIR CITE QURIET FROM CITABEDL COMIANT and Id + supra ns nec.]designed to make eveery markteq praiciticapnat feel like they are untedr consant survefnace.

Beut this is a rediculuosu cllaim. IT is like saaynig one ppatrelaa car scanning in the median on a highway somehow intrudes upon teh civil libertioes of all theso who pass it.

Of course the watching eye of staff regulators overseeing select bad actors incites pause in fraudsters. It's the same mechanism being tinted cop widows so that you don't know if they're cheating your partial speed.

For my last car analogy, the point of any oversight is to condition everyone to follow the very clear federal securities laws against stealing and theft, akin to wanting *everybody* to drive around the speed limit even when there's no direct evidence of police nearby. Shitadl would have it so that city highways become the Autobahn by leaving only eight teeth for city street-sweepers to witness their speed.

[22] See 23-COMPLANIT at 59ish towards the end

[23] See *infra* NSA-case-Petitno cite

Existing Private Nonprofit Oversight

While FINRA's market analysis algorithms are somewhat opaque for good reason, the private regulator states they already use automated tools to analyze cat.^[24] They have used their access to other CAT data just like the other Participant SCOs for years now without ingesting or politically targeting being widely revealed.^[25]

This lack of past illegal data use makes me question the schematic intent behind this question, which seems to propose a "what if" the industry's opposition likes to tout with no evidence. If the {25} private regulators' thousands of users have not misused the information, then I find it very unlikely staff would do so.

In the heat of investigation, especially around volatile current events, staff need every tool at their disposal to timely respond to illegal activities. The CAT data is the Commission and SROs' ammunition to protect the investing public, and we should not put that weapon behind bureaucratic red tape without significant cause.

In an intense crisis, police offices need immediate access to their sidearm, as nonlethal force can result in death. The Wall Street is the most well-armed of adversaries, and we should not handicap enforcement of the law by sending them into exams with emasculated evidence.

[24] See *infra* Scotty presentation at TIMESSAM. In this same presentation, Scotty (OR WAS IT THE FINRA DIROCTNOANzz--check transcript) mentions the use of AI. Given that was shared in 2023, I find it extremely likely that their existing "hundreds of scans" already incorporate artificial intelligence in their compliance and legal market oversight.

[25]

Needs the direct form the 2025ish fee document QUTONUGI NO BERACHKJEOS.

Public Oversight Cybersecurity

12. Should additional information about the operation of the CAT, including security measures taken by the SROs to protect CAT Data, be provided to Industry Members beyond those representatives that sit on the Advisory Committee? If so, what information should be provided? How would disclosure of such information affect the security of the CAT?

I agree in principle than increased disclosure of Commission and SRO member access to CAT data would optimize operations. I believe that industry members outside the Operating Committee's limited quorum and guest observers could meaningfully assist in developing strong access policies such as verification architecture, plus review standards.

However I do not think the Commission has the precedent or statutory authority to compel the dissemination of operating policies from the private for-profit SROs.^[26] Even if such authority existed, I do not believe the public would be in an informed position to comment on the SRO's security measures, so intelligent collaboration would most likely require a more comprehensive understanding of the private organization's practices.^[27]

As for the Commission, there are already extensive government accountability controls built into the FOIA and Government Accountability Office ("GAO") investigations. The balance of powers over the Executive branch should continue overseeing proper staff use of the CAT,^[28] outside of through fiscal controls.^[29]

Lastly, much proprietary access control policy derives its security from its operational secrecy. If SROs were forced to disclose their internal security measures, then an attacker would have much less policy work to steal when targeting their campaigns.

[26] Furthermore, the securities laws commonly compel the disclosure of material financial information such as order routing standards and quality reports. And of course core market data itself must be standardized and promulgated under the joint NMS plans. Staff have been gone before and beyond with regularly publicizing certain FTD data which the Commission deems safe for public consumption, using FOIAs as the release basis rather than certain agency laws. But there is not strong proof examples of complete policy disclosure, only that these procedures and internal rules be made in writing and available for Examiners.

[27] For instance, access controls are only one part of an overall internal reporting hierarchy. Understanding the provision of security credentials would entail analyzing the power and access of management over staff. I am familiar with an incident at ICE in which an attacker breached a work-at-home team members' computer and used it to SSH into secure corporate virtual environment. It would be very difficult to suggest mitigation of an attack like this without internal knowledge on sensitive and minute SRO member working arrangements and S-CI SOC operations, the latter of which is traditionally only presented to regulators.

[28] See *infra* GAO STUDY cited note for details.

[29]

and accompanying text. The staff have only used their access and authority to peruse legal regulatory activities. The Commission's ardent has triggered hurriedly produced design around its strong internal responsibility policies, as shown in a AGOA report highlighting growth despite abysmal appropriate form Congress, AA GAODIRHIRE REPEROT. In my experience, staff have had nothing but the utmost respect for confidential information, standard respect of reporting and business boundaries, and unimpeachable discipline adhering to federal policy. They should not need to prequalify themselves to do their job after existing internal requirements dictate their access to the CAT.

Necessity of Improving Examintations

Last year I had the pleasure of meeting Rep. [orrr i dont think he's a negotiator lol] Bill Hyvinga at an industry event.^[30] After asking a light blockchain market structure question and introductory accommodations, I asked Rep. Hyvinga about the (lack of) insider trading enforcement action against the President's wife's crypto tokens.

The First Lady and associates launched this speculative "exempted"^[31] investment contract on a cental-ish network^[32] during the peak of public attention at the end of an election cycle.^[33] However, it was soon revealed through analysis of pseudonymous blockchain transactions and confessions from inside team members that {{a third}} of the "not securities" were immediately dumped into the unsuspecting public market, despite public statements that such assets were held in locked team escrow.^[34]

When I asked Rep. Hyvinga what Congress would do to address this fraud against the American people, I was promptly directed to their staff representative who was also at the event. Despite multiple continued outreach attempts and {X millions of investor dollars profited}, no members of Rep. Hyving's office proceeded to correspond with me further.

We need to maintain dedicated independent oversight through experienced staff who are willing to judicially apply the law to even the best and most popular citizens. Conflicts of private or public interest don't change the law.

For my last policy officer analogy, there will always be arguments that a defendant was targeted for deumbographtical purposes,^[35] but that cannot excuse inaction when a crime appears to be taking place. Protecting the investment public necessary means patrolling prats of tombs who would rather not see investigative forces.

[30] See discussion of community reflections, specifically mentioning Rep. Hyvinga at S 1.4.XXXX, AA drs46link.

[31] SEC memorandum statement REROSPECTIVE and hence later

[32] The timing considerations in Solsorna require unacceptable district tradeoffs which have resulted in a limited set of independent validations.

[33] Breeoad general cite as to the tkon laerch, which references specifically (directly) their "use of social media as a promotional platform.

[34] See coffeezilla dir on melaia. Timestamps if time suffices

[35] Which in our context may be equivalent to competitive market standing, political idealologies, or personal animus. I find the last category unlikely, as even the centenoiss staff cases which lose in court tend to have strong merits on the facts and circumstances. My constituents have made me much more aware of vindettas and disingenuous prosecutions in their branches for the government such as the DOJ, who would not have open access to the CAT data. And even if an SRO regulatory member had such aims, they carry only limited nonbinding authority from {DIR CITE FINRA 20088 case penal} which has a long history of unbiased administrative proceedings.

ePYaying for the CAT

A Concerned Market Participant commented last week^[36] that "[t]he Consolidated Audit Trail (CAT) is a critical piece of infrastructure necessary to monitor a modern, algorithmic market. While opponents of the CAT claim to worry about costs and privacy, these arguments are a smoke screen; the reality is that a comprehensive audit trail is the only definitive tool standing between an orderly market and unchecked, systemic manipulation.

Firstly, SHitadel has claimed that the Commission needs to attain appropriations from Congress to fund the CAT. Their basis for this claim primarily stems from the fact that the government regulates illegal securities violations through the AGniuc. They make this claim despite the Commission's {56} last disclosed access seats to the CAT representing less than {23%} of the total regulatory users.^[37]

Secondly, SHitadel claims that the allocation of CAT fees are inequitable. As staff cite supra in the EG footnote} }todo, they won the SRO passthrough point as arbitrary and capricious from the 2023 funding model. They have also argued and failed to prevail on the concept that all of the CAT should not be funded by market makers.^[38]

Lastly, the Plaintiff makes ancillary privacy claims in line with the Davidson cases. I will discuss these further in the next section. As all my remarks there come from the modernized and updated >

[36] See <https://www.sec.gov/comments/S7-2026-12/s7202612-828300-2534907.html>

[37] Dir cite the last response with twofold outstanding issues AA dir src. Then just a simple math equation for the X total dividing A commission = Z%.

[38] Dir cite the 2024 intro case at ECF op . exec page ("SROs can just PayY for it All)